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Organizational Culture



A system of **shared meaning** held by members that distinguishes the organization from other organizations



The set of important **assumptions** about the organization and its goals and practices that members of the company share



System of shared beliefs and values that develops within an organization and guides the behavior of its members



Culture is a **perception**



Employees **describe the culture in similar terms** despite their diversity



Organizational Culture

- **Culture:** a system of shared values, norms, and assumptions that guide members' attitudes and behaviors
- Why important for employees?
- Why important for organizations?

- Strength of culture is defined by level of congruence between employee and company values
 - employees hold company values = higher congruence level = stronger culture



Strong vs. Weak Culture

- In a strong culture, the organization's core values are both intensely held and widely shared
- Strong cultures will:
 - Have great influence on the behaviors of members
 - Increase cohesiveness
 - Result in lower employee turnover



Strong Culture as a Liability

- Culture as a liability
 - Institutionalization (accepted modes of behavior go unquestioned)
 - Barriers to change
 - Barriers to diversity
 - Barriers to acquisitions and mergers (58% failed due to culture clash)

Organizational Culture



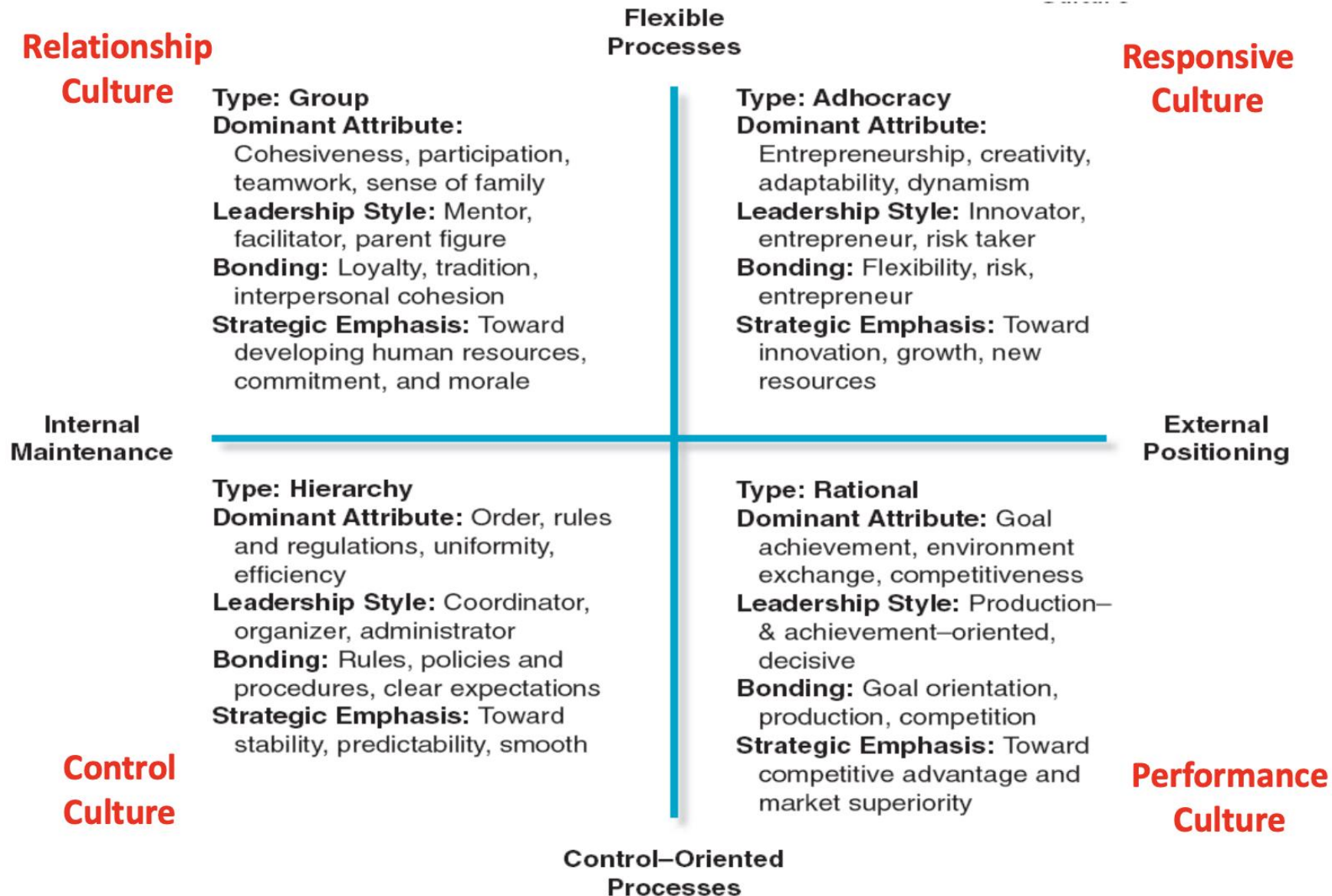
- Strong culture is long-lasting.
- However, it is not impossible to change; it just takes time and effort
 - E.g. Microsoft CEO Satya Nadella leads the reshaping of Microsoft's culture in 2014 (Heskett, 2021)

Organizational Culture



Competing Values Model of Culture

Cameron and Quinn, 2011. Diagnosing and changing organizational culture.

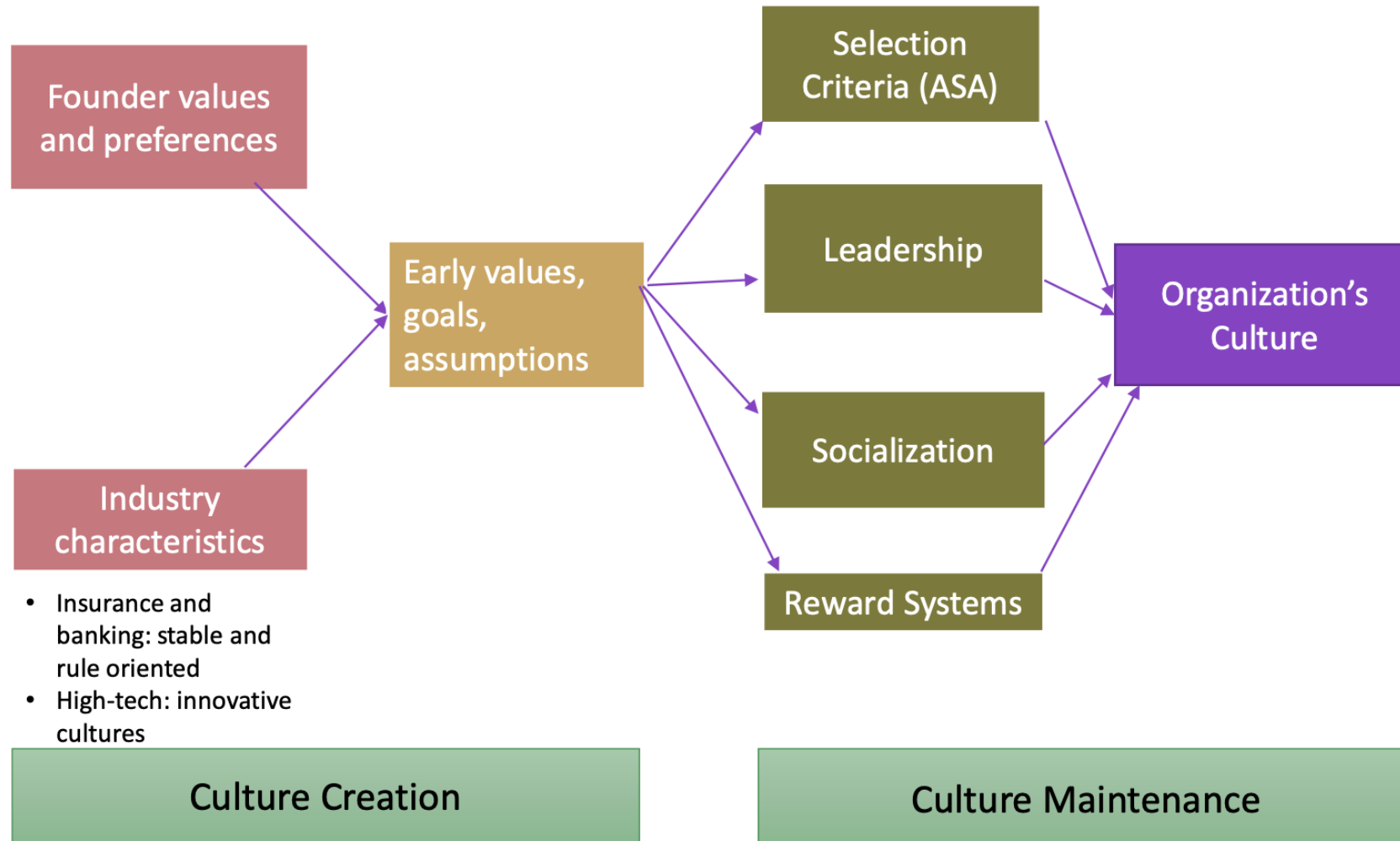


Organizational Culture



- **Control culture:**
 - Success is “better and better”
- **Performance culture:**
 - Success is “market share”
- **Relationship culture:**
 - Success is “concern for people”
- **Responsive culture:**
 - Success is “innovation and growth”

Creating an Organizational Culture



Attraction-Selection-Attrition (ASA) Model

Individuals are attracted to organizations whose members are similar to themselves in terms of personality, values, interests, and other attributes;

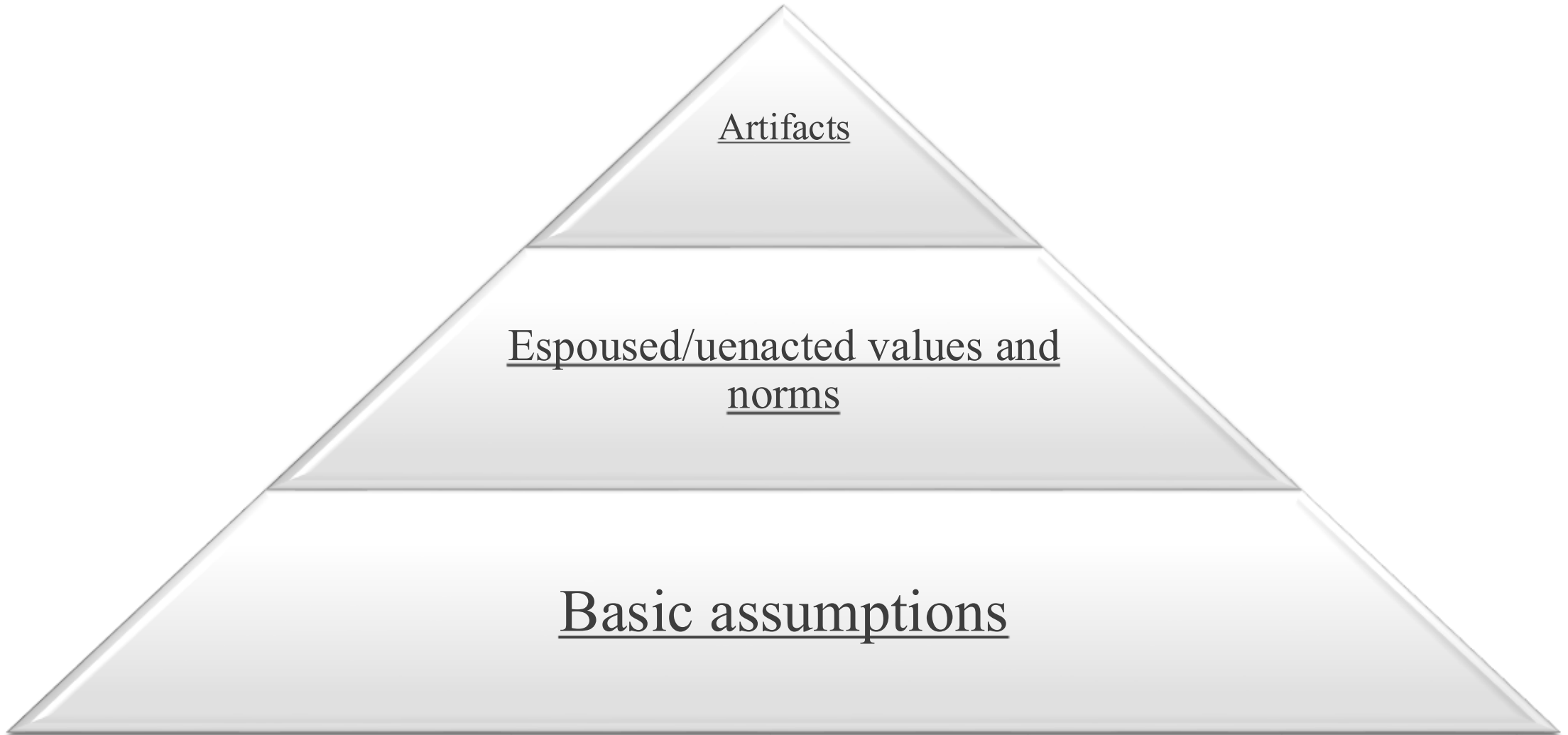
Over time, those who do not fit in well are more likely to leave.



Organizations are more likely to select those who possess knowledge, skills, and abilities similar to the ones their existing members possess; and



Schein's Iceberg Model of Culture





How Employees Learn Their Organizational Culture? (Artifacts)

- Material symbols
- Rites and rituals
- Stories and heroes
- Languages

How Employees Learn Their Organizational Culture?



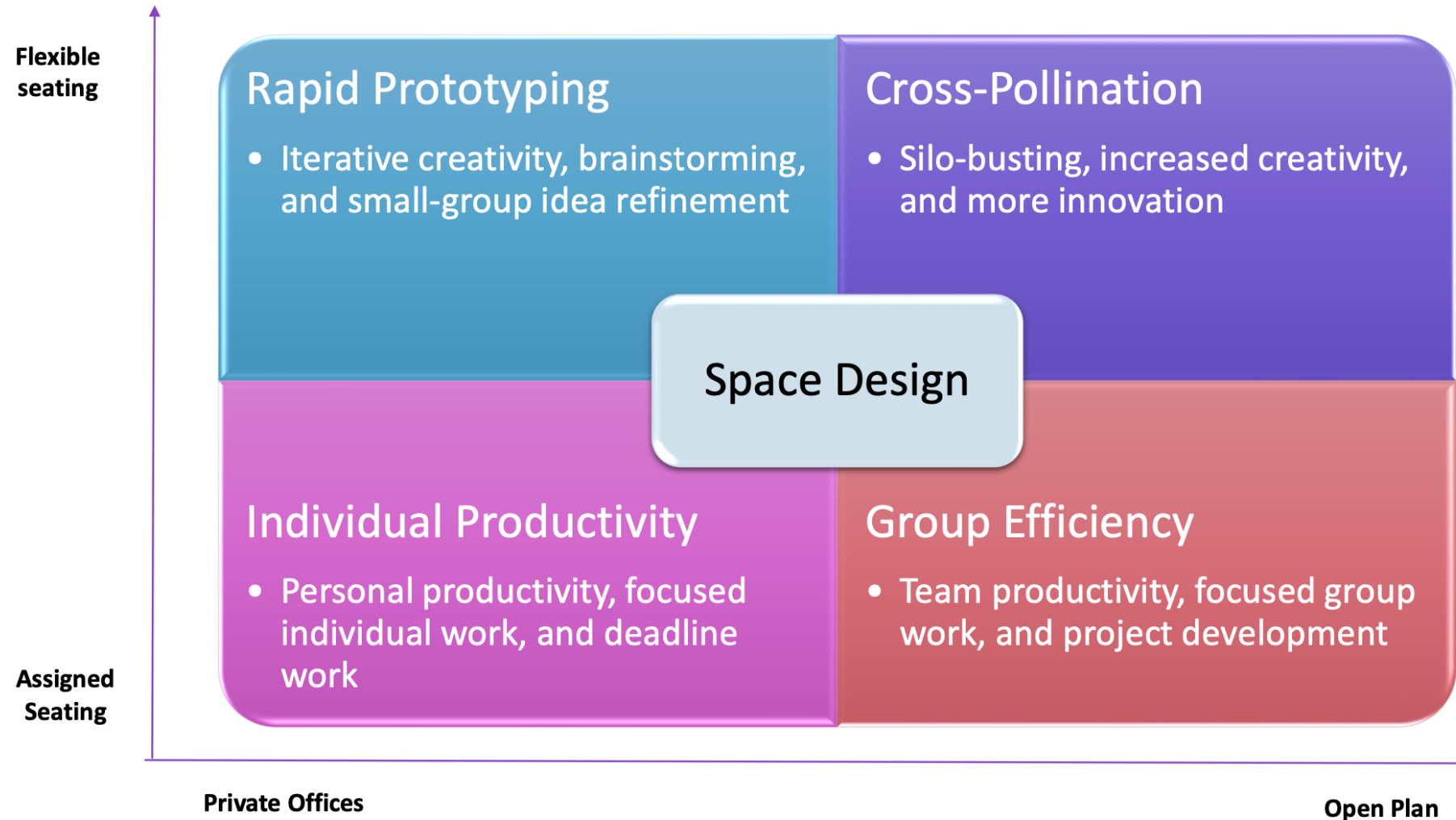


Think About the Office Design

- Physical design (buildings, office or store design)
 - Where are the company located and why?
- Symbols (logos, dress codes)
 - What values are highlighted? Where are logos displayed?
- Office design: The size/layout of offices
 - Private space, couches, cubicles, open space, no desks, hot desks, standing desks, co-working spaces, etc.
 - Café, food etc.
- Attire: Uniforms?



Strategic Office/Space Design



Stories and Heroes



Rituals and Ceremonies

- The programmed routines of daily organizational life that dramatize an organization's culture
- Ceremonies are more formal artifacts than rituals





Languages

- How employees talk to each other, describe customers, express emotion, and greet stakeholders
- How are employees addressed? Are jokes used in conversation?
 - Implicit gender stereotypes
 - Tolerance of sexism
- **“What we say-and how we say it – can deeply affect a company’s culture”**.....Tom Kelly, IDEO



Espoused Values

- The preferred values and norms *explicitly* stated by the organization
- May be stated in
 - CEO or founder's speech
 - Company websites and various communication platforms
 - Workshops



The Less Conscious Part of Culture

- **Underlying assumptions are...**
 - Organizational values that have become **so taken for granted** over time that they become the core of the company's culture
 - Implicit in existing members
 - Highly resistant to change
- **Can be stereotypical and damaging**



When is Culture an Asset?

- Culture can significantly contribute to an organization's bottom line in many ways.
 - Decision-making
 - Promoting ethical values → ethical behaviors
 - Promoting psychological safety → creativity, innovation
 - Promoting collaboration → improve team performance



When is Culture an Asset?

- **There are many more cases of business success stories because of excellent organizational cultures than there are of success stories despite bad cultures, and almost no success stories because of bad ones.**

Toxic Organizational Culture

- Five attributes of culture which are rendered as a **toxic culture** in the eyes of the employees
 - Disrespectful,
 - Non-inclusive
 - Unethical
 - Cutthroat
 - Abusive

